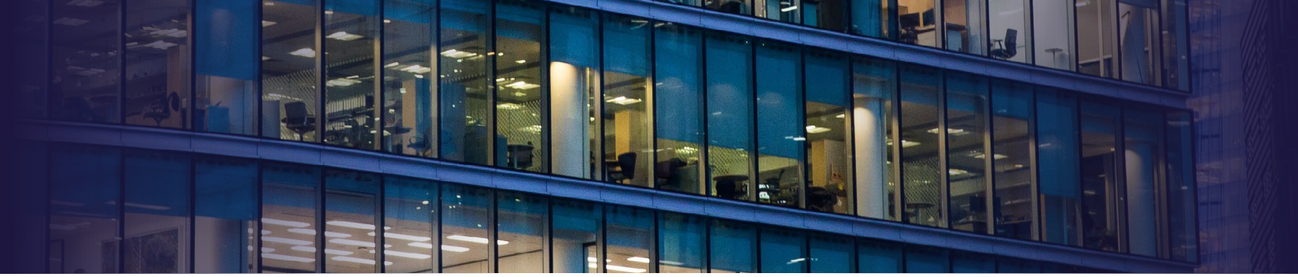
MARKETBEAT

PHOENIX

OFFICE Q4 2024



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MARKET FUNDAMENTALS

	YOY Chg	Outlook
28.5% Vacancy Rate	▲	▲
-787K YTD Net Absorption, SF	▲	▲
$29.72 Asking Rent, PSF	▲	▲

(Overall, All Property Classes)

ECONOMIC INDICATORS

	YOY Chg	Outlook
2.5M Phoenix Employment	▲	▲
3.3% Phoenix Unemployment Rate	▼	▲
4.2% U.S. Unemployment Rate	▲	▲

Source: BLS

ECONOMY: PHOENIX REMAINS RESILIENT

In Q4 2024, the Phoenix market recorded an employment level of 2.5 million jobs and the unemployment rate decreased significantly from 3.8% in Q4 2023 to 3.3% in Q4 2024. This unemployment rate is well below the national average of 4.2% and equals the second-lowest rate of any major city with employment exceeding 2 million jobs. The metro area continues to record strong growth, as the number of households increased by 2.3% year-over-year (YOY) to 2.0 million. Strong wage growth continues to bring job seekers back into the labor market, as the median household income reached $93,200 in Q4 2024, an increase of 3.9% YOY. In comparison, the Consumer Price Index in the Phoenix area has risen 1.6% YOY according the Bureau of Labor Statistics.

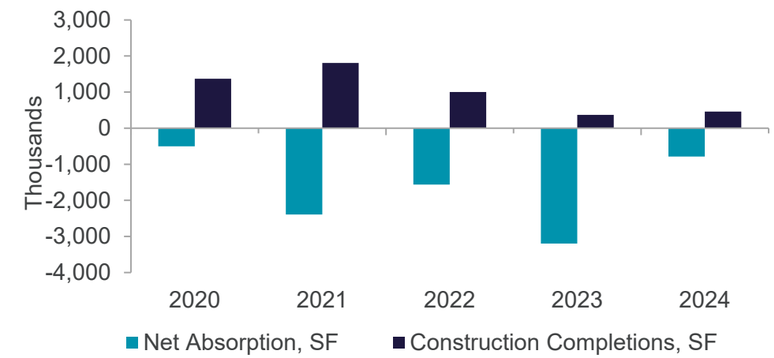
DEMAND: OFFICE VACANCY DECREASES

In the fourth quarter of 2024, the overall vacancy rate across the Phoenix metro office market fell slightly to 28.5%, coming off a record high of 28.7% in the previous quarter. Of that total, 23.0% was direct vacancy which decreased 20 basis points (bps) from the previous quarter. Sublease vacancy also decreased slightly to 5.5%, a 10-bps quarter-over-quarter (QOQ) reduction. Class A vacancy has bucked the overall market however, and decreased by 70 bps QOQ, and 10 bps YOY to 30.1%. Class B vacancy however, decreased for the first time since 2021, down to 29.9% in the fourth quarter.

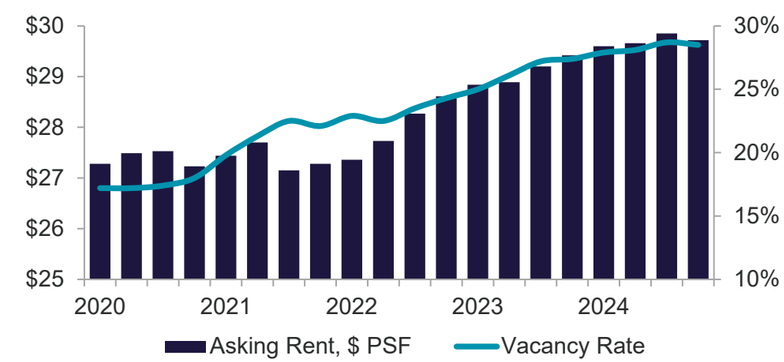
DEMAND: LEASING ACTIVITY REMAINS STRONG

The Phoenix metro office market recorded 1.5 million square feet (msf) of gross leasing activity for the quarter. This represents a modest 1.5% decrease from the prior quarter, but a 21.6% increase YOY. On a yearly basis, this is the highest level of leasing activity since 2022, exceeding the 2023 total by 15.9%. The submarkets of Tempe and Scottsdale Airpark have each recorded over 800,000 square feet (sf) of activity in the year, followed by Midtown with over 700,000 sf, and Camelback Corridor, South Airport and Desert Ridge/Paradise Valley closely behind with over 400,000 sf. This leasing total from just six submarkets represents over half of the 2024 leasing activity in the Phoenix metro area.

SPACE DEMAND / DELIVERIES



OVERALL VACANCY & ASKING RENT



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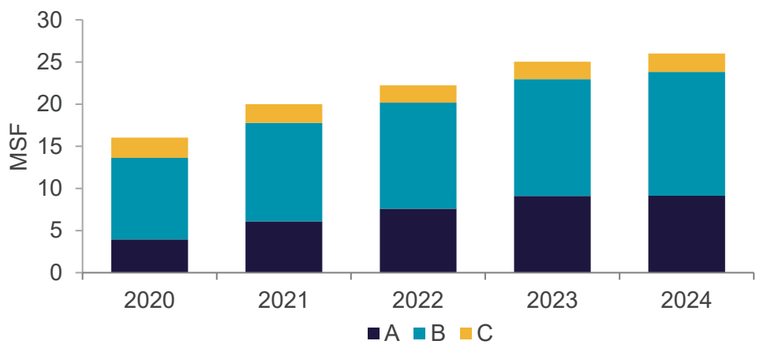
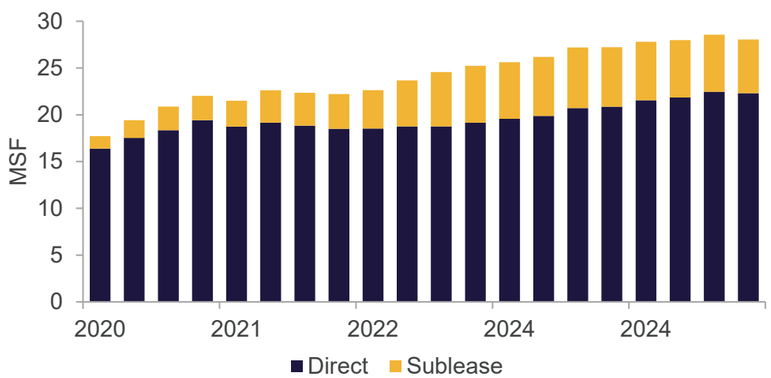
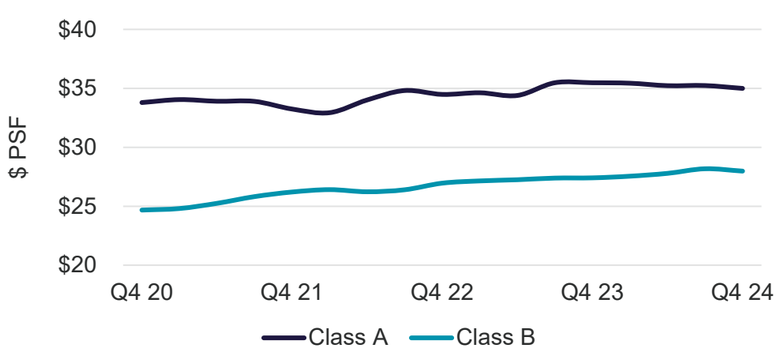
VACANT SPACE BY CLASS



DIRECT VS. SUBLEASE SPACE AVAILABLE COMPARISON



ASKING RENT COMPARISON



DEMAND: POSITIVE NET ABSORPTION

Absorption turned positive in Q4 2024 for the first quarter since 2022, bolstered in large part by the purchase of 20 E Thomas Road in Midtown Phoenix by U-Haul. The Phoenix market recorded positive absorption of 204,632 sf for all building classes in the fourth quarter. Class A buildings underperformed the overall market, and had negative absorption of 233,878 sf, however, Class B buildings had positive absorption of 463,688 sf, and Class C buildings had negative absorption of 25,178 sf as the U-Haul purchase of over 580,000 sf in 20 E Thomas Road drove the bulk of positive absorption. Despite the net negative total, most Class A properties outperformed the overall market in Q4 2024, as 9 submarkets recorded positive absorption, while 8 recorded negative absorption. The Phoenix office market ended 2024 with negative net absorption of 787,466 sf, its best-performing year since 2020 in terms of net absorption.

SUPPLY: VACANT SUBLEASE SPACE ON STEADY DECLINE

The amount of vacant sublease space in metro Phoenix decreased by over 780K in 2024, from 5.8 msf in Q4 2023, to 5.0 msf currently. Of the sublease space that was removed from the market, the majority was leased by subtenants, rather than rolled to direct vacancy. The largest subleases coming to market this quarter include Freeport McMoRan's 246,490-sf block of space at 333 N Central Avenue in Downtown Phoenix, and Nuro Inc's 26,990-sf block of space at Agave Executive Center in the South Tempe/Ahwatukee submarket.

PRICING: OVERALL RENTS SLIGHTLY DOWN

The overall full-service gross asking rental rate in the Phoenix Metro office market in Q4 2024 decreased slightly to $29.72 per square foot (psf) from $29.85 psf in Q3 2024. The Camelback Corridor remains the most expensive submarket at $38.43 psf, followed closely by Tempe at $38.09 psf. On the high-end, landlords are asking as much as $62.00 full-service gross for premium space in the Camelback Corridor. On the low-end, Central Phoenix was the least expensive submarket, being the last submarket to break above the $20.00 threshold, to $20.31 psf.

THE BRIGHT SIDE: SMALL OFFICE REMAINS DESIRABLE

Smaller office buildings, which often cater to local businesses, professional services and medical uses, continued to outperform larger buildings in the third quarter of 2024. The segment of office product between 20,000 sf and 50,000 sf recorded an overall vacancy rate of just 16.5%, while the overall vacancy rate in office properties larger than 50,000 sf sits at 30.4%. Due to the current desirability of small floor plates, the segment of office product between 20,000 sf and 50,000 sf recorded an overall vacancy rate of just 10 bps higher in Q4 2024 than the Q4 2019 vacancy rate of 16.4%.

OUTLOOK

- While overall negative net absorption is expected to continue into 2025, there are several positive signs for office landlords. Notably, negative overall net absorption decelerated for the first three quarters of the year and turned positive at year-end. We expect the highest quality and well-amenitized office product to continue to outperform Class B and C buildings over the next 3-5 years.
- Sublease vacancy likely peaked in Q4 2023 and has decreased by 13.6% over the past four quarters. We expect this trend to continue, as less sublease space is coming to market, and many companies are finding opportunities to take sublease space in desirable areas at a significant discount to direct space.
- Several notable new office projects remain underway in 2024. These projects include the new Central Station, a mixed-use development in downtown Phoenix which is to include over 70,000 sf of office space, and an additional 37,000 sf office building at The Grove in Camelback Corridor.

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MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	SUBLET VACANT (SF)	DIRECT VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)*	UNDER CNSTR (SF)	OVERALL AVG ASKING RENT (ALL CLASSES)**
(1) Arrowhead	480,517	18,167	70,038	18.4%	4,291	625	46,823	-	$30.48
(2) Metrocenter	5,170,638	74,095	1,818,622	36.6%	-115,986	-105,357	314,541	-	$22.78
(3) Glendale 101	759,264	37,122	139,536	23.3%	-1,329)	-38,866)	51,215	-	$27.20
(4) Southwest Phoenix	313,743	0	28,500	9.1%	-	-	-	-	$25.00
(5) Piestewa Peak	2,278,547	122,263	398,725	22.9%	40,587	-4,909	198,973	-	$26.94
(6) Midtown	9,246,278	51,980	2,583,331	28.5%	369,833	68,957	790,243	-	$25.75
(7) Downtown	5,984,172	361,385	1,465,632	30.5%	-172,110	-262,527	155,379	73,000	$32.12
(8) Desert Ridge/Paradise Valley	1,710,549	10,455	466,169	27.9%	-14,303	22,464	444,660	250,000	$31.93
(9) Camelback Corridor	7,037,109	126,796	1,492,026	23.0%	-13,155	-36,667	483,943	37,000	$38.43
(10) Central Phoenix	880,077	0	163,249	18.5%	-14,657	-24,969	87,678	-	$20.31
(11) North Airport/44th St Corridor	2,463,105	103,503	607,315	28.9%	-10,411	-87,685	143,948	-	$28.41
(12) South Airport	7,192,565	971,828	1,989,695	41.2%	-31,078	-155,666	509,347	-	$27.58
(13) Scottsdale Airpark	9,394,884	484,318	1,362,334	19.7%	36,465	28,736	805,554	-	$32.44
(14) Central Scottsdale	4,922,739	82,874	825,311	18.4%	92,506	11,067	362,113	-	$31.58
(15) South Scottsdale	4,342,790	191,096	1,176,293	31.5%	-5,009	-213,394	417,887	-	$35.46
(16) Tempe	9,272,439	830,739	2,012,857	30.7%	117,579	386,450	852,904	-	$38.09
(17) South Tempe/Ahwatukee	1,898,583	66,084	367,389	22.8%	17,626	-123,904	168,329	-	$25.53
(18) East Mesa	546,562	0	93,948	17.2%	-12,321	11,111	45,221	-	$21.67
(19) Superstition Corridor	2,828,171	106,056	529,923	22.5%	-52,045	-131,376	215,579	-	$23.25
(20) Price/Chandler/Gilbert	8,648,158	810,868	2,033,697	32.9%	68,946	-112,824	352,575	119,222	$28.76
(21) Deer Valley	4,993,344	557,975	1,210,220	35.4%	-98,718	-33,873	233,463	-	$28.00
(22) West I-10	317,674	5,701	80,678	27.2%	-1,597	19,625	35,276	-	$35.48
(23) Loop 303/Surprise	129,735	0	44,057	34.0%	-2,750	20	7,822	-	$30.00
(24) Phoenix-Mesa Gateway/Loop 202	341,530	0	38,764	11.4%	2,268	-4,504	11,396	-	$35.30
PHOENIX TOTALS	**91,153,173**	**5,013,305**	**20,998,309**	**28.5%**	**204,632**	**-787,466**	**6,734,869**	**479,222**	**$29.72**
Class A	29,529,270	2,820,012	6,310,408	30.9%	-233,878	-27,515	2,236,844	323,000	$35.00
Class B	49,128,674	2,129,334	12,564,032	29.9%	463,688	-617,662	3,664,452	156,222	$27.98
Class C	12,495,229	63,959	2,123,869	17.5%	-25,178	-142,289	833,573	-	$21.79
PHOENIX TOTALS	**91,153,173**	**5,013,305**	**20,998,309**	**28.5%**	**204,632**	**-787,466**	**6,734,869**	**479,222**	**$29.72**

**Renewals not included in leasing statistics. **Rental rates reflect full service asking.*

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MAJOR MARKET STATISTICS

MAJOR MARKET	INVENTORY (SF)	SUBLET VACANT (SF)	DIRECT VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)*	UNDER CNSTR (SF)	OVERALL AVG ASKING RENT (ALL CLASSES)**	OVERALL AVG ASKING RENT (CLASS A)**
Camelback/Piestewa Peak	9,315,656	249,059	1,890,751	23.0%	27,432	-41,576	682,916	37,000	$35.63	$41.68
Central Business District	15,230,450	413,365	4,048,963	29.3%	197,723	-193,570	945,622	73,000	$28.36	$34.36
East Phoenix	10,535,747	1,075,331	2,760,259	36.4%	-56,146	-268,320	740,973	-	$27.43	$31.78
Northeast Valley/Scottsdale	20,370,962	768,743	3,830,107	22.6%	109,659	-151,127	2,030,214	250,000	$33.12	$37.18
Southeast Valley	14,263,004	983,008	3,063,721	28.4%	24,474	-361,497	793,100	119,222	$27.44	$32.16
Tempe	9,272,439	830,739	2,012,857	30.7%	117,579	386,450	852,904	-	$38.09	$41.90
West/Northwest Phoenix	12,164,915	693,060	3,391,651	33.6%	-216,089	-157,826	689,140	-	$25.76	$30.45
PHOENIX TOTALS	**91,153,173**	**5,013,305**	**20,998,309**	**28.5%**	**204,632**	**-787,466**	**6,734,869**	**479,222**	**$29.72**	**$35.00**

**Renewals not included in leasing statistics. **Rental rates reflect full service asking.*

KEY LEASE TRANSACTIONS Q4 2024

PROPERTY	SUBMARKET	TENANT	SF	TYPE
The Beam on Farmer	Tempe	LEGO	41,164	Direct New
Gainey Ranch Corporate Center III	Central Scottsdale	Shea Homes	40,187	Renewal*
Hayden Ferry Lakeside III	Tempe	Cognite	28,332	Direct New
Papago Buttes Corporate Plaza	Tempe	WSP USA	27,800	Direct New
Max at Kierland	Scottsdale Airpark	C.H. Robinson	26,042	Sublease

**Renewals not included in leasing statistics*

KEY SALE TRANSACTIONS Q4 2024

PROPERTY	SUBMARKET	SELLER/BUYER	SF	PRICE / $ PSF
24th at Camelback II	Camelback Corridor	Hines / Roger Norman	306,877	$97.9M / $319
Camelback Lakes	Camelback Corridor	DRA Advisors / Arte Moreno	205,593	$60.0M / $292
7272 Old Town	South Scottsdale	Goldman Sachs / Ascentris	158,556	$42.3M / $266
20 E Thomas Road	Midtown	Bank of America / U-Haul	548,938	$23.7M / $43
LINK	Piestewa Peak	Mainstreet Capital Partners	85,324	$21.4M / $251

KEY CONSTRUCTION COMPLETIONS YTD 2024

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
Tempe Vale	Tempe	N/A	300,000	Verde Investments
8240 S River Parkway	Price/Chandler/Gilbert	N/A	135,000	Levine Investments

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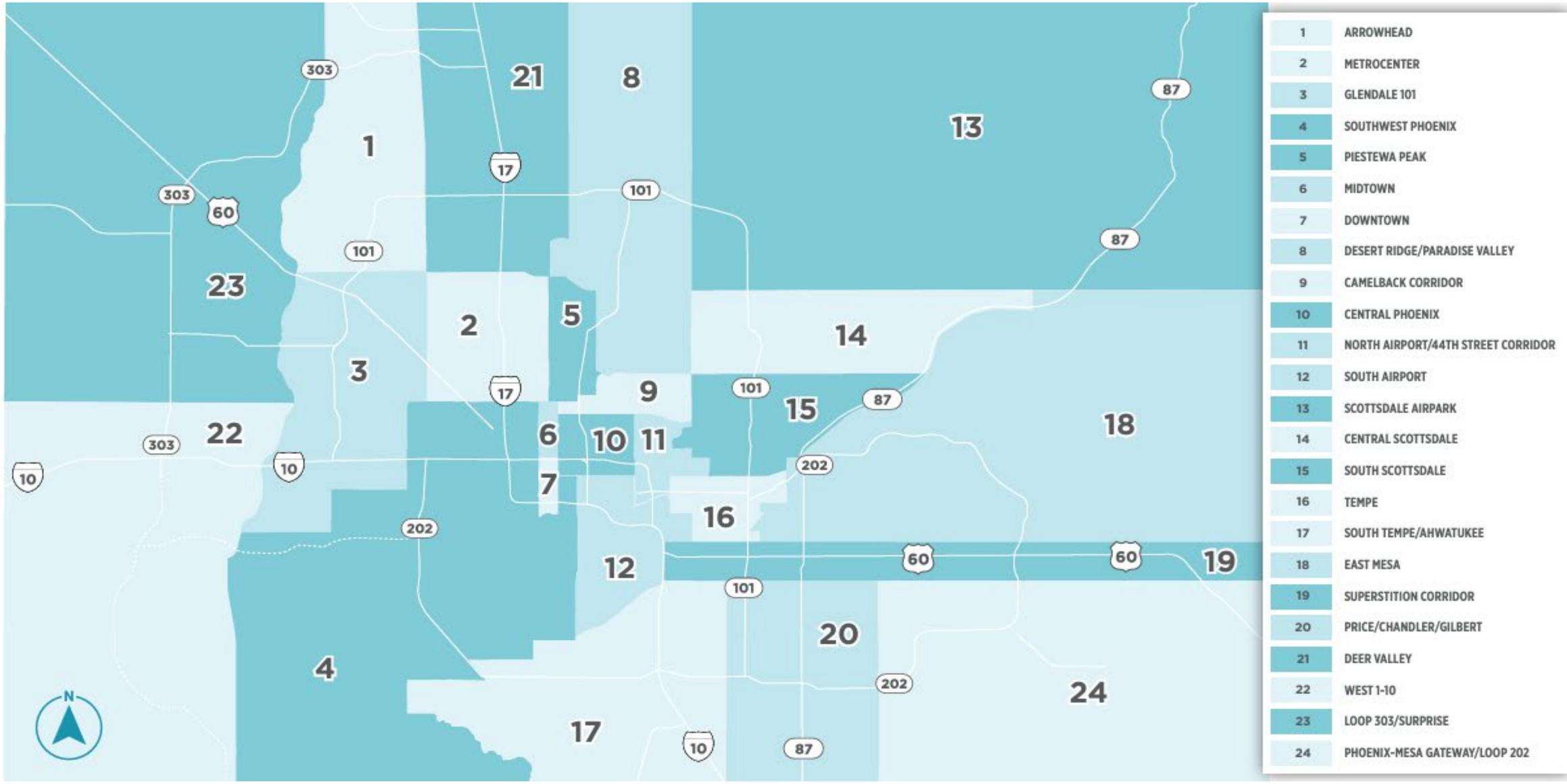
OFFICE SUBMARKETS



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